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Advantech | Asia Pacific

August Sales -8% MoM/+88% YoY

In this report, we focus on Advantech's monthly sales, which we believe could be a catalyst for its share price.

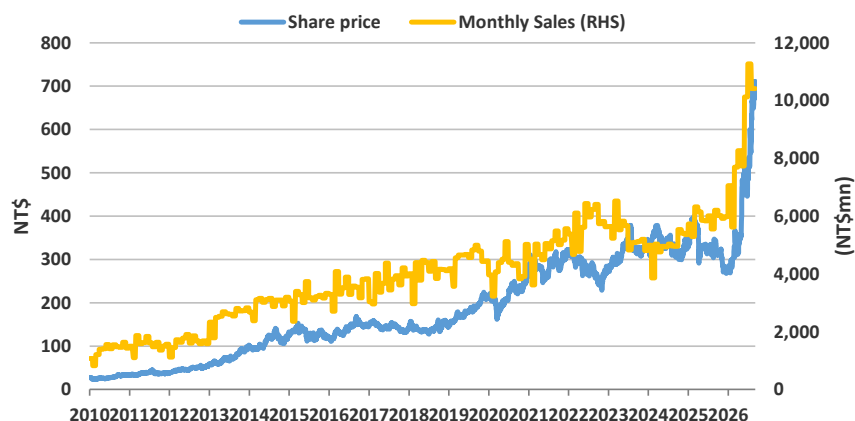
Details:

- August sales were NT\$10,419mn (-8% MoM/+88% YoY),
- QTD revenue reached 77% of MSe, at NT\$28,185mn (+8% QoQ/+59% YoY), and 76% of consensus, at NT\$28,371mn (+9% QoQ/+60% YoY).
- By region, N.A (+106%) outperformed, while other markets, including Europe (+52%), China (+67%), Taiwan (+96%), Japan (+73%), Korea (+79%) and emerging markets (+75%), also performed strongly.
- By segment, Intelligent Systems was +93% YoY, IoT Automation was +36% YoY, while Intelligent Service grew single-digit% YoY. The Embedded Sector grew 61% YoY, of which Embedded IoT grew 83% YoY, while Applied Computing grew 37% YoY.

Our view:

- We think its 3Q26 revenue is tracking ahead of market expectations and more likely to approach 20-25% QoQ growth.
- Management attributed the strength in August to demand from sectors including semi, AI datacenter, energy infrastructure, and factory automation.
- B/B ratio in August was stronger than that in July, continuing to point to a strong revenue outlook in the coming quarters.
- We remain constructive on Advantech, as it is well positioned to benefit from accelerating IoT market growth amid edge AI proliferation.

Exhibit 1: Advantech's monthly sales vs. its share price since 2010



Note: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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Advantech (2395.TW, 2395 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight			
Industry View	In-Line			
Price target	NT\$720.00			
Up/downside to price target (%)	6			
Shr price, close (Sep 7, 2026)	NT\$680.00			
52-Week Range	NT\$727.00-271.00			
Sh out, dil, curr (mn)	864			
Mkt cap, curr (mn)	US\$18,590			
EV, curr (mn)	US\$17,829			
Avg daily trading value (mn)	US\$41			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	12.25	20.27	23.77	26.97
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	11.43	19.39	23.31	27.19
Revenue, net (NT\$ mn)	70,882	102,882	117,458	129,338
EBITDA (NT\$ mn)	12,777	20,941	24,975	28,349
ModelWare net inc (NT\$ mn)	10,593	17,527	20,547	23,317
P/E	23.5	33.5	28.6	25.2
P/BV	4.5	9.5	8.5	7.7
RNOA (%)	35.0	53.1	62.2	67.1
ROE (%)	20.5	31.8	33.2	33.9
EV/EBITDA	17.6	26.6	22.1	19.2
Div yld (%)	2.9	1.6	2.2	2.5
FCF yld ratio (%)	2.2	2.5	2.9	3.6
Leverage (EOP) (%)	(43.7)	(48.6)	(51.1)	(55.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Avantech 2395.TW			
August 2026 sales	07 Sep 2026	Unchanged	↑ Modest upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Advantech (2395.TW)

Base case, 30x 2027e P/E. We view our target multiple as justified by our 30% earnings CAGR forecast for 2025-28. It implies a PEG of 1.0, vs. the stock's average one-year forward P/E of 25x in 2015-22 and the earnings CAGR of 8% during that period, with a PEG of 3.5.

Risks to Upside

- Stronger-than-expected macroeconomic conditions
- More top- and bottom-line growth from the platform and applications

Risks to Downside

- Weaker macro environment
- Slower progress in edge AI implementation

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(as of August 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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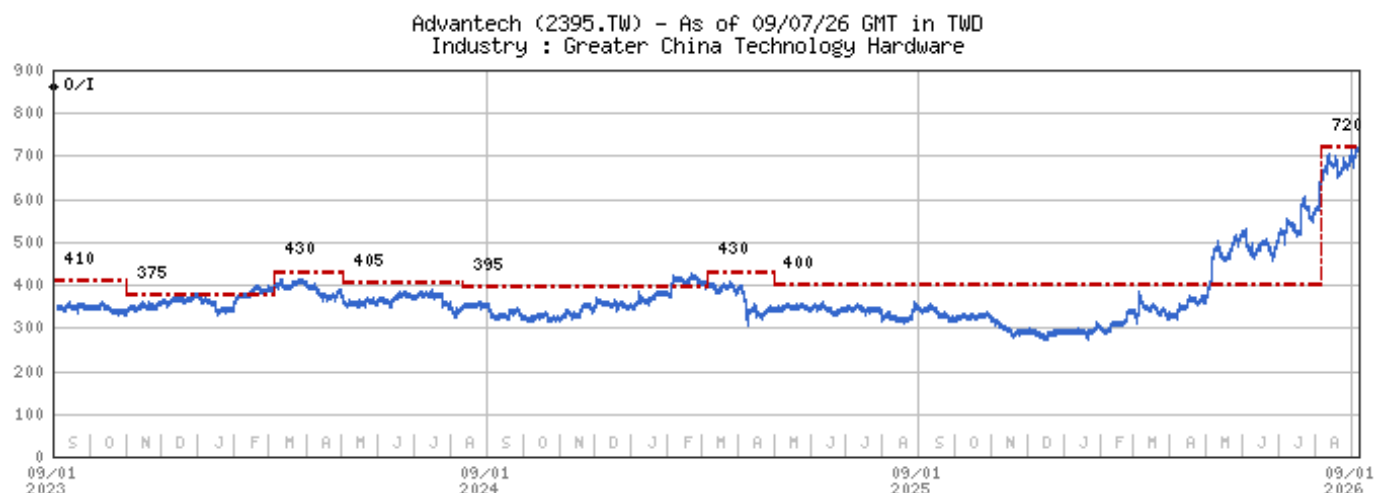
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/07/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$43.50
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb184.47
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$26.88
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.64
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.28
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb417.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$987.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.60
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.47
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.87
Largan Precision (3008.TW)	O (07/10/2026)	NT\$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.84
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.65
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.63
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$61.40
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.93
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.53
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.92
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb63.22
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$42.82
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb54.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$69.55
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb267.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb18.10
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.50
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb400.51

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$175.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb108.33
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.79
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb898.46
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,203.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.80
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.28
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,100.00
Advantech (2395.TW)	O (01/20/2021)	NT\$680.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,370.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,420.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$28.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,440.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,070.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.68
Chenbro (8210.TW)	O (07/23/2025)	NT\$937.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,230.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,850.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$150.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.20
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,265.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$364.50
Innolux (3481.TW)	E (04/07/2025)	NT\$49.95
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,905.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.78
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$299.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.81
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.60
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb197.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$999.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$208.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$40.05
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.49
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb66.57
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$364.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,120.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$256.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb74.74
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$3,070.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$32.36
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,695.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,050.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$93.60
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$347.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb148.15
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb364.98
Unimicron (3037.TW)	O (02/23/2026)	NT\$949.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$500.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$197.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,490.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$589.00
Zhen Ding (4958.TW)	++	NT\$501.00

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